

September 27, 2026 10:05 PM GMT

Camtek | North America

4 Qs into SEMICON West

WHAT'S CHANGED

Camtek (CAMT.O)	From	To
Price Target	\$165.00	\$152.00

We're focused on their growth story, HBM, financial model, and China. Stock trades at a premium to US SPE, looking for reasons to justify that.

Key Takeaways

- HBM: looking for color on share by customer and the technology roadmap.
- Expect \$1bn/\$6 model (rev/EPs) with possibly a \$1.4bn/\$8.5 model as well.

2026 has been a transition year for CAMT. We estimate Advanced Packaging (AP) and WFE to grow 69%/39% in 2026. CAMT has materially under grown, as we estimate product sales growth of approx. 20%. At their JunQ earnings, the company disclosed YTD orders of \$600mn+, implying a \$1,030mn annual run rate, suggesting 2027 should see growth closer to AP/WFE, which we see growing 52%/37%.

4 Questions. Camtek is hosting an Investor & Analyst Breakfast on Oct 14th at SEMICON West. We have 4 areas we're focused on: **1) Growth Story:** We're interested in how CAMT frames its share opportunity against the key 2027 growth drivers, including non-TSMC CoWoS, HBM, SoIC, and EMIB-T, particularly as competition in AP increases from front-end players such as KLA and AMAT. **2) HBM:** CAMT's 2025 regional revenue mix implies significantly higher revenue per kwpm at MU/CXMT than at Hynix/Samsung. We currently model CAMT's HBM revenue per kwpm remaining roughly flat through our forecast horizon and are interested in whether the roadmap or share dynamics could influence our assumptions. **3) Financial Model:** CAMT's current financial model calls for 54–55% GM and 33–35% OPM at \$750mn of revenue (CY26 MSe \$594mn). We expect the company to introduce a financial model at \$1bn of revenue and potentially at a higher revenue level (\$1.3–1.5bn), with implied EPS of \$6 at \$1bn of revenue and \$8.50 at \$1.4bn. **4) China:** Following two strong years of growth in China (CY25 +84%; CY26e +10%), we're interested in how CAMT views the forward opportunity in China CoWoS and HBM, including domestic competition. For more see [China Advanced Packaging](#).

Thoughts on the stock: CAMT trades at a premium to our US SPE coverage and OEM averages (CY27 P/E 29x vs 25x/27x). **Do we agree? Not necessarily.** Growth has tracked below our coverage average in 2026 (20% vs. 35%), and without a clear catalyst for outgrowth in 2027/28 or a meaningful path to margin expansion, we question the premium valuation. We fine-tune our CY27 estimates from \$788mn/\$5.01 to \$802mn/\$5.14, primarily reflecting higher margin assumptions. Our prior \$165 PT was based on 26x CY28 EPS, a 1-turn premium to through-cycle average. We lower our target multiple to 23x, a 1-turn premium to historical cycle-trough multiples, resulting in a PT of \$152.

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Camtek (CAMT.O, CAMT US)

Semiconductor Capital Equipment | United States of America

Stock Rating	Equal-weight
Industry View	In-Line
Price target	\$152.00
Shr price, close (Sep 25, 2026)	\$147.05
Mkt cap, curr (mm)	\$7,473
52-Week Range	\$215.99-91.91

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (\$) **	3.19	3.57	5.14	6.11
Prior EPS (\$) **	-	-	5.01	5.91
P/E	37.3	46.2	31.9	26.7
EPS (\$) §	3.20	3.61	4.89	5.29
Div yld (%)	0.0	0.0	0.0	0.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)

Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	0.78	-	0.68a	1.18	1.19
Q2	0.79	-	0.77a	1.24	1.27
Q3	0.83	0.96	0.96	1.27	1.32
Q4	0.79	1.14	1.14	1.30	1.34

e = Morgan Stanley Research estimates, a = Actual Company reported data

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For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

4 Questions

The company's commentary on HBM, the financial model, and China may influence our numbers.

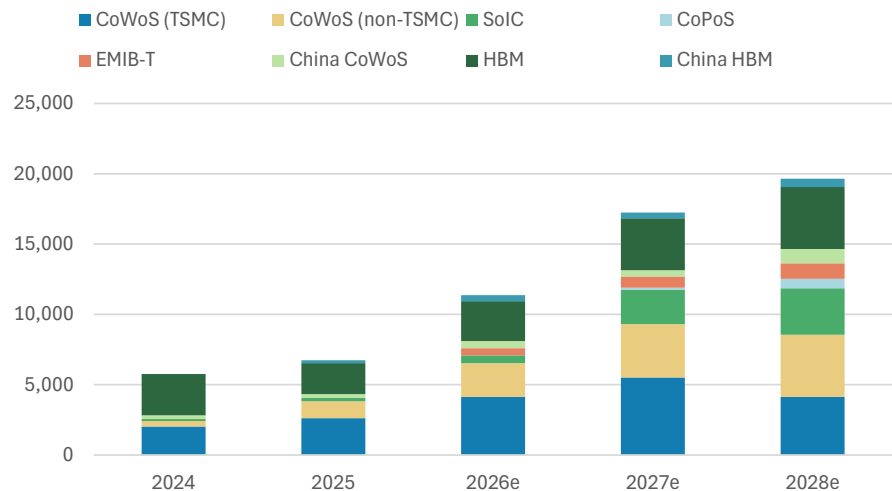
Question #1: Growth Story

Our questions for CAMT are as follows:

- **2026 vs 2027:** We're curious to hear the company's explanation for why it has undergrown this year and why we should believe it can outgrow next year (CY27 AP growth MSe CAMT 42% vs AP 52%).
- **Inflections:** We expect 2027 growth to be driven by non-TSMC CoWoS capacity additions, SoIC, HBM, and EMIB-T. We're curious to hear how the company is positioned to benefit from these technology inflections.
- **Competition:** Advanced Packaging is likely to become increasingly competitive as growth continues to outpace broader WFE. We're interested in how CAMT views the competitive landscape, particularly as front-end players such as KLA and AMAT expand their presence in the market.

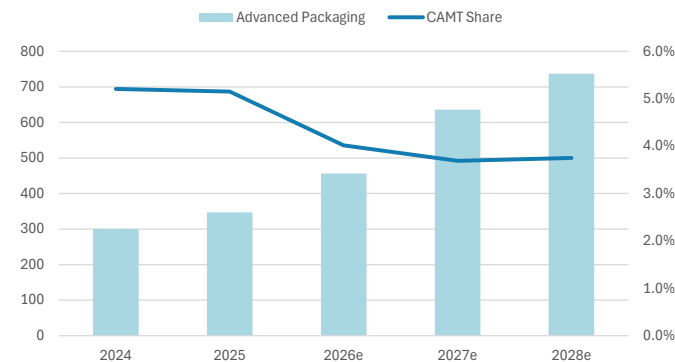
We don't think the company's commentary on strategy will change our forecasts given the moving pieces across end-markets.

Exhibit 1: We model Advanced Packaging to grow 69% in CY26 and 52% in CY27, with logic growth outpacing HBM both years.



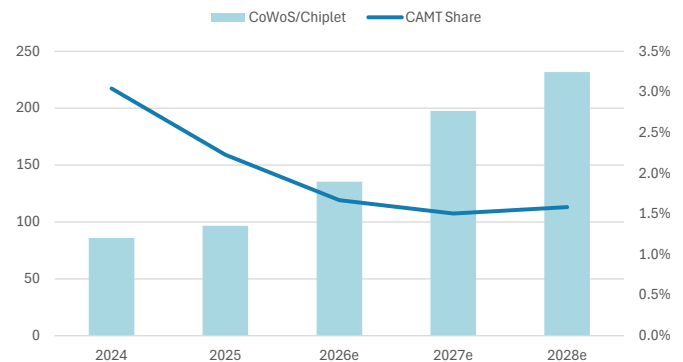
Source: Morgan Stanley Research estimates

Exhibit 2: We estimate CAMT's share of AP to have declined 120bps in 2025



Source: Company data, Morgan Stanley Research estimates

Exhibit 3: Primarily in CoWoS/Chiplet as CAMT has been a share gainer in HBM



Source: Company data, Morgan Stanley Research estimates

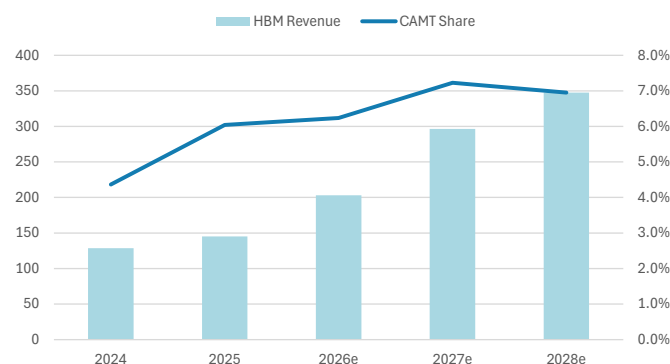
Question #2: HBM

Our questions for CAMT are as follows:

- **Content per kwpm:** As HBM investment shifts from technology-driven spending toward volume capacity additions, should CAMT's content per kwpm trend higher or lower through 2026–28? We currently assume CAMT's HBM revenue per kwpm remains roughly flat through our forecast horizon and are interested in what could drive upside or downside to that assumption.
- **Customer share:** We're interested in how CAMT's share/content differs between the Korean HBM players (SK Hynix/Samsung) and others (MU/CXMT). CAMT's 2025 regional revenue mix appears to imply significantly higher revenue per kwpm at MU/CXMT than at SK Hynix/Samsung. We're curious about what drives this disparity and whether there is an opportunity for content/share to converge over time.
- **HBM despec:** Our view is that the greatest downside risk from HBM de-spec will be to process control and backside grinding/polishing. Furthermore, if the HBM roadmap doesn't scale to 16-high and beyond, we're unlikely to need hybrid bonding and a further increase in process control intensity. However, the increased competition from technology scaling (hybrid bonding) was a bear thesis for CAMT, and we're curious whether they see themselves excelling more in a volume or technology market.

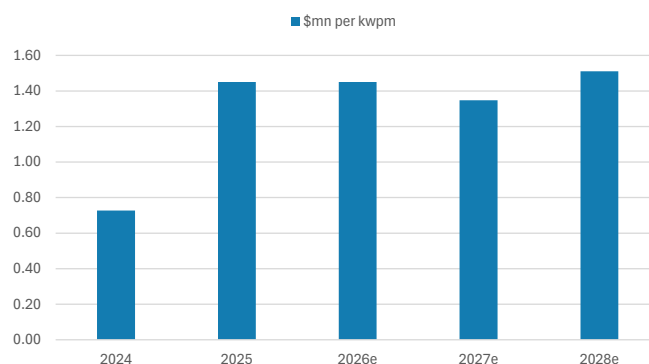
CAMT's commentary could meaningfully influence our forecasts, as our current estimates do not embed a strong view on either content per kwpm or customer share. For context on our views around HBM de-spec, see [Semiconductor Capital Equipment: 7 Debates on SPE \(7 Sep 2026\)](#).

Exhibit 4: We model CAMT's share of HBM spend to marginally increase during our forecast horizon.



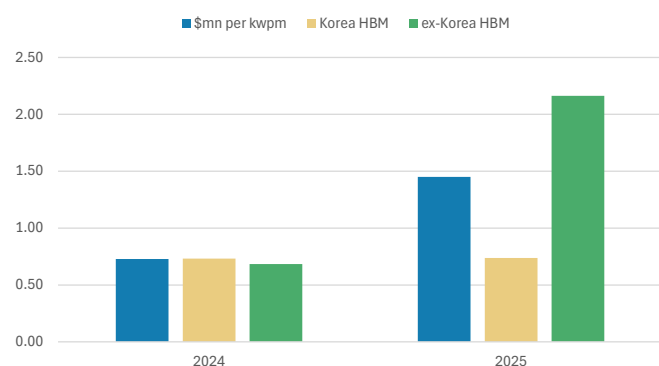
Source: Company data, Morgan Stanley Research estimates

Exhibit 5: We assume CAMT's \$mn per kwpm stays roughly flat



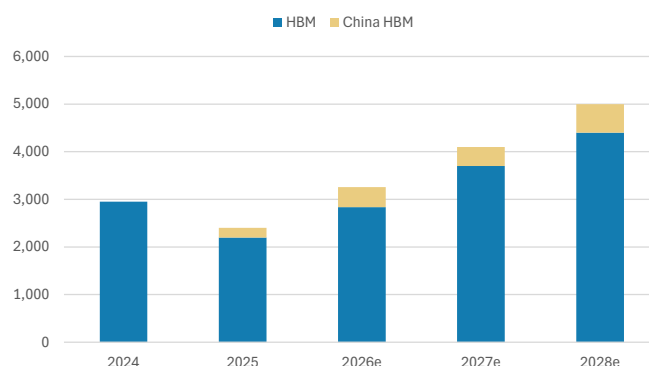
Source: Company data, Morgan Stanley Research estimates

Exhibit 6: CAMT's regional split implies a significant share difference between Korea HBM and non-Korea HBM



Source: Company data, Morgan Stanley Research estimates

Exhibit 7: Non-China HBM vs China HBM



Source: Morgan Stanley Research estimates

Question #3: Financial Model

Our questions are as follows;

- **Gross Margin:** How does gross margin currently differ between larger customers and the long tail (e.g., TSMC vs. China long-tail customers)? As CAMT's customer mix evolves, how should we think about the resulting impact on gross margin over time?
- **R&D:** We expect technology scaling in Advanced Packaging to progress faster than in the front-end. Does keeping pace with that roadmap require a step-up in CAMT's R&D intensity, or can the company support these technology transitions while still generating operating leverage?
- **Front-End Competition:** KLA and AMAT are increasingly targeting back-end process control opportunities. How does CAMT expect their growing presence to affect its competitive strategy? Could increased competition require higher R&D investment or pricing concessions, and ultimately have implications for gross margin?

CAMT's commentary is likely to influence our forecasts, as we believe SPE gross margins

in the near-to-medium term are largely controllable and reflect intentional decisions around pricing, customer mix, and investment.

Exhibit 8: CAMT's current financial model and our expectations (Scenario #1/#2)

	Current Model	CY27 Mse	Scenario #1	Scenario #2
Revenue	\$750mn	\$802mn	\$1,000mn	\$1,400mn
Gross Margin	54-55%	54.1%	54-56%	54-57%
Operating Margin	33-35%	33.5%	33-36%	33-37%
Implied EPS	\$4.41	\$5.14	\$5.97	\$8.48

Source: Company data, Morgan Stanley Research estimates

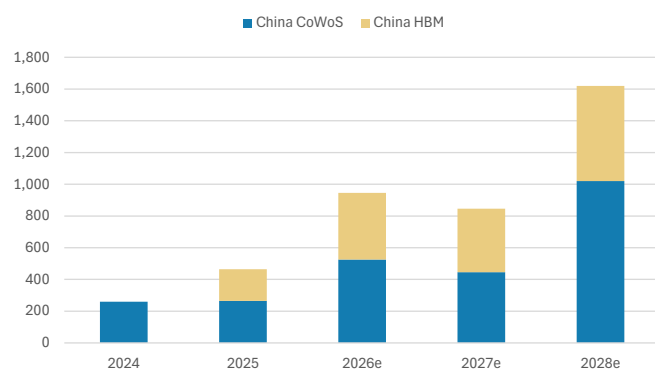
Question #4: China

Our questions are as follows;

- **China AP TAM:** We estimate China's Advanced Packaging TAM (CoWoS + HBM) grows from ~\$465mn in 2025 to ~\$1.6bn in 2028. We're interested in how CAMT sizes the opportunity and whether its view of the growth trajectory differs from ours.
- **China ex-AP:** Advanced Packaging is only one component of CAMT's China SAM. We're interested in how CAMT views the opportunity outside of AP, including the key applications and growth drivers over the next several years.
- **Share & Competition:** China is a market where CAMT is likely to face less competition from traditional peers such as ONTO and KLA. We're interested in how CAMT views its competitive positioning and the emergence of domestic Chinese competitors, including whether it expects local players to become a more meaningful share or pricing risk over time.

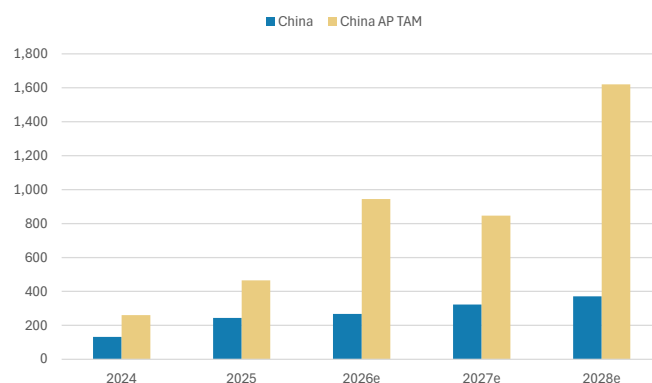
CAMT's commentary on China is likely to influence our forecasts. For more on China Advanced Packaging, see [China Advanced Packaging](#).

Exhibit 9: We estimate China AP grows from \$465mn in 2025 to \$1.6bn in 2028.



Source: Company data, Morgan Stanley Research estimates

Exhibit 10: CAMT China revenue vs China AP



Source: Company data, Morgan Stanley Research estimates

Risk Reward – Camtek (CAMT.O)

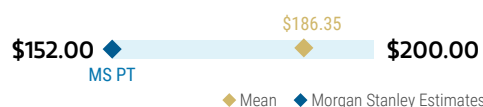
HBM beneficiary, but fairly priced

PRICE TARGET \$152.00

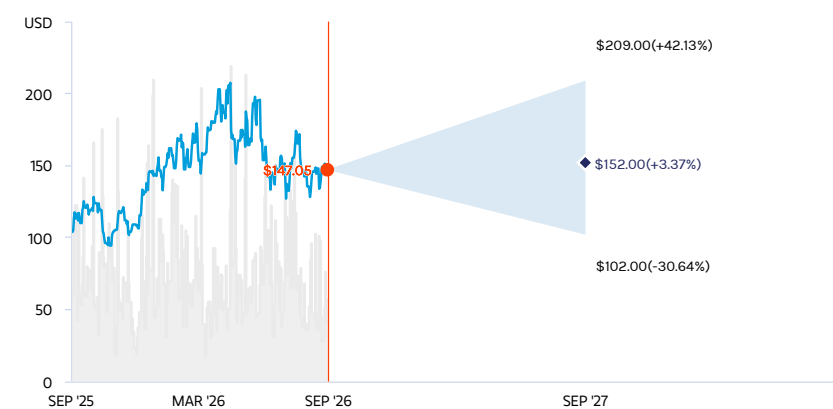
23x multiple on the company's CY28 EPS of \$6.11 plus net cash. Multiple is a 1-turn premium to historical cycle-trough multiples

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



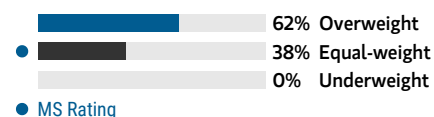
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- We like CAMT's structural growth story led by metrology/inspection intensity increasing in the back-end and the CAMT specific growth story driven by HBM. We think CAMT is set up for double-digit growth through 2026-27 led by the drivers above and continued OSAT capex strength.
- CAMT trades at above through-cycle average multiples on our above-consensus estimates, which keeps us EW the name. We would be inclined to turn more positive if we get indication that CAMT can achieve our bull case EPS of \$7 in 2028 but stay sidelined for now.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE \$209.00

~28x multiple on CY28 EPS of \$7.03 and net cash

We reflect stronger than expected OSAT capex for 2026-2027 as well as market share gain and a multiple closer to early cycle.

- Revenue growth of 26.6% in CY28

- GM expands to 55.6% and EPS to \$7.03 in CY28

BASE CASE \$152.00

~23x multiple on CY28 EPS of \$6.11 and net cash

Multiple is roughly in-line with the company's through cycle average.

- Revenue growth of 15.1% in CY28

- CY28 GM of 54.4%

- EPS of \$6.11 in CY28

BEAR CASE \$102.00

~17x multiple on CY28 EPS of \$5.32 and net cash

We reflect weaker than expected OSAT capex for 2026-2027 as well as market share loss and a multiple closer to late cycle.

- Revenue growth of 7% in CY28

- GM declines to 52.9% and EPS comes in at \$5.32 in CY28

Risk Reward – Camtek (CAMT.O)

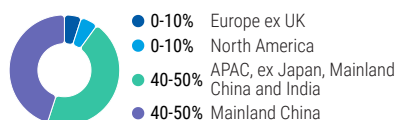
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
GAAP Revenue (\$, mm)	496	594	802	923
MW Gross Margin (%)	51.0	51.9	53.6	54.0
Non-GAAP EPS (\$)	3.19	3.57	5.14	6.11
Inventory (\$, mm)	112	119	135	149
DOI	164.4	147.4	129.1	124.9

INVESTMENT DRIVERS

- HBM capacity expansion
- OSAT capex strength
- Market share vs ONTO & KLA

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- OSAT capex growth accelerates
- HBM capacity growth accelerates
- Share gain from ONTO and KLA

RISKS TO DOWNSIDE

- OSAT capex growth decelerates due to end-market weakness
- HBM capacity growth slower than expected
- Share loss to ONTO and KLA

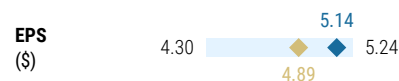
OWNERSHIP POSITIONING

Inst. Owners, % Active	81.7%	
HF Sector Long/Short Ratio	2.2x	
HF Sector Net Exposure	30.6%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Projected Financial Statements

Exhibit 11: CAMT: Projected Income Statement

Camtek Ltd. Income Statement (\$ in millions; fiscal year ends in December)	Mar-25 F1Q25A	Jun-25 F2Q25A	Sep-25 F3Q25A	Dec-25 F4Q25A	Mar-26 F1Q26A	Jun-26 F2Q26A	Sep-26 F3Q26E	Dec-26 F4Q26E	Mar-27 F1Q27E	Jun-27 F2Q27E	Sep-27 F3Q27E	Dec-27 F4Q27E	2024FYA	2025FYA	2026FYE	2027FYE	2028FYE
Revenues - GAAP	\$ 118.6	\$ 123.3	\$ 126.0	\$ 128.1	\$ 121.7	\$ 133.2	159.2	180.3	190.2	199.3	204.2	208.0	\$429.2	\$496.1	\$594.4	\$801.7	\$922.7
Q-o-Q change (%)	1.1%	3.9%	2.2%	1.7%	-5.0%	9.5%	19.5%	13.2%	5.5%	4.8%	2.4%	1.9%					
Y-o-Y change (%)	22.3%	20.2%	12.2%	9.2%	2.5%	8.0%	26.4%	40.7%	56.3%	49.6%	28.2%	15.4%	36.1%	15.6%	19.8%	34.9%	15.1%
Gross Profit - Non GAAP	61.8	64.0	64.9	65.4	62.0	68.5	83.9	96.8	102.1	107.6	110.9	113.0	217.9	256.0	311.2	433.6	502.4
Gross Margin - Non GAAP	52.1%	51.9%	51.5%	51.1%	51.0%	51.4%	52.7%	53.7%	53.7%	54.0%	54.3%	54.3%	50.8%	51.6%	52.4%	54.1%	54.4%
Gross Profit - MW	61.2	63.2	64.1	64.7	61.5	67.8	83.1	95.9	101.2	106.7	109.9	112.0	215.7	253.2	308.4	429.8	498.0
Gross Margin - MW	51.6%	51.3%	50.9%	50.5%	50.6%	50.9%	52.2%	53.2%	53.2%	53.5%	53.8%	53.8%	50.2%	51.0%	51.9%	53.6%	54.0%
R&D - MW	10.4	11.5	13.5	13.1	14.3	16.7	18.0	19.5	20.6	21.6	22.1	22.5	38.2	48.3	68.5	86.8	97.5
Percentage of Revenues	8.7%	9.3%	10.7%	10.2%	11.8%	12.5%	11.3%	10.8%	10.8%	10.8%	10.8%	10.8%	8.9%	9.7%	11.5%	10.8%	10.6%
Selling, General and Administrative - MW	17.2	18.8	17.4	19.2	19.3	20.0	21.9	23.6	24.7	25.3	25.7	26.2	61.9	72.7	84.7	101.8	112.4
Percentage of Revenues	14.5%	15.3%	13.8%	15.0%	15.8%	15.0%	13.8%	13.1%	13.0%	12.7%	12.6%	12.6%	14.4%	14.6%	14.3%	12.7%	12.2%
Operating Expenses - MW	27.5	30.3	30.9	32.3	33.6	36.6	40.0	43.1	45.3	46.8	47.8	48.7	100.1	121.0	153.3	188.6	209.9
Percentage of Revenues	23.2%	24.6%	24.5%	25.2%	27.6%	27.5%	25.1%	23.9%	23.8%	23.5%	23.4%	23.4%	23.3%	24.4%	25.8%	23.5%	22.8%
Sequential change	3.9%	10.1%	1.8%	4.5%	4.1%	9.1%	9.1%	7.8%	5.1%	3.5%	2.0%	1.9%	24.7%	20.8%	26.7%	23.0%	11.3%
Operating Income - Non GAAP	37.3	37.4	37.6	36.7	31.1	36.0	48.6	59.0	62.4	66.6	69.1	70.4	130.3	149.0	174.7	268.4	319.4
Operating Margin Non GAAP%	31.5%	30.3%	29.9%	28.6%	25.5%	27.0%	30.5%	32.7%	32.8%	33.4%	33.8%	33.8%	30.4%	30.0%	29.4%	33.5%	34.6%
Operating Income - MW	33.6	32.9	33.2	32.4	28.0	31.2	43.2	52.9	56.0	59.8	62.1	63.3	115.5	132.2	155.1	241.2	288.1
Operating Margin MW%	28.3%	26.7%	26.4%	25.3%	23.0%	23.4%	27.1%	29.3%	29.4%	30.0%	30.4%	30.4%	26.9%	26.6%	26.1%	30.1%	31.2%
Total interest income (net) and other income - GAAP	5.4	4.9	(94.4)	8.2	8.1	7.0	5.9	5.9	5.2	5.5	5.7	6.1	23.2	(75.9)	26.9	22.5	27.7
PBT - GAAP	38.1	36.9	(62.6)	39.8	35.4	34.2	48.0	57.7	60.1	64.2	66.7	68.3	131.2	52.3	175.2	259.3	311.4
PBT Margin GAAP %	32.1%	29.9%	-49.7%	31.1%	29.1%	25.7%	30.1%	32.0%	31.6%	32.2%	32.7%	32.8%	30.6%	10.5%	29.5%	32.3%	33.7%
PBT - MW	39.1	37.8	27.5	40.6	36.1	38.1	49.1	58.8	61.2	65.3	67.8	69.4	138.7	145.0	182.1	263.7	315.8
PBT Margin MW%	32.9%	30.7%	21.8%	31.7%	29.7%	28.6%	30.8%	32.6%	32.2%	32.8%	33.2%	33.3%	32.3%	29.2%	30.6%	32.9%	34.2%
Income Tax Expense (Benefit) - MW	(4.1)	(3.5)	9.0	(4.2)	(4.0)	(3.6)	(4.9)	(5.9)	(6.1)	(6.5)	(6.8)	(6.9)	(14.8)	(2.8)	(17.9)	(25.5)	(30.7)
Effective tax rate MW	10.5%	9.2%	-32.6%	10.3%	11.0%	9.3%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.7%	1.9%	9.8%	9.7%	9.7%
Net Income - MW	35.0	34.3	36.5	36.4	32.1	34.6	44.2	52.9	55.1	58.8	61.1	62.4	123.8	142.2	164.2	238.2	285.1
Net Income Margin MW%	29.5%	27.9%	28.9%	28.4%	26.4%	25.9%	27.7%	29.3%	28.9%	29.5%	29.9%	30.0%	28.9%	28.7%	27.6%	29.7%	30.9%
SBC	3.7	4.5	4.4	4.2	3.1	4.9	5.4	6.1	6.5	6.8	6.9	7.1	14.8	16.8	19.5	27.3	31.4
Net Income - Non GAAP	38.7	38.8	40.9	40.7	35.3	39.4	49.6	59.0	61.5	65.5	68.0	69.5	138.6	159.0	183.7	265.4	316.4
Net Income Margin Non GAAP %	32.6%	31.5%	32.4%	31.7%	29.0%	29.6%	31.1%	32.7%	32.3%	32.9%	33.3%	33.4%	32.3%	32.1%	30.9%	33.1%	34.3%
EPS - GAAP	\$ 0.70	\$ 0.68	\$ (1.07)	\$ 0.70	\$ 0.61	\$ 0.45	\$ 0.84	\$ 1.01	\$ 1.05	\$ 1.12	\$ 1.16	\$ 1.19	\$ 2.40	\$ 1.02	\$ 2.91	\$ 4.52	\$ 5.41
EPS - MW	\$ 0.71	\$ 0.70	\$ 0.74	\$ 0.71	\$ 0.62	\$ 0.67	\$ 0.86	\$ 1.03	\$ 1.07	\$ 1.14	\$ 1.18	\$ 1.21	\$ 2.51	\$ 2.85	\$ 3.19	\$ 4.61	\$ 5.50
EPS - Non GAAP	\$ 0.78	\$ 0.79	\$ 0.83	\$ 0.79	\$ 0.68	\$ 0.77	\$ 0.96	\$ 1.14	\$ 1.19	\$ 1.27	\$ 1.32	\$ 1.34	\$ 2.81	\$ 3.19	\$ 3.57	\$ 5.14	\$ 6.11

Source: Company Data, Morgan Stanley Research

Exhibit 12: CAMT: Projected Balance Sheet

Camtek Ltd. Balance Sheet (\$ in millions; fiscal year ends in December)	Mar-25 F1Q25A	Jun-25 F2Q25A	Sep-25 F3Q25A	Dec-25 F4Q25A	Mar-26 F1Q26A	Jun-26 F2Q26A	Sep-26 F3Q26E	Dec-26 F4Q26E	Mar-27 F1Q27E	Jun-27 F2Q27E	Sep-27 F3Q27E	Dec-27 F4Q27E	2024FYA	2025FYA	2026FYE	2027FYE	2028FYE
Assets																	
Cash and cash equivalents	\$ 229.8	\$ 192.0	\$ 199.7	\$ 177.8	\$ 199.6	\$ 215.2	\$ 218.1	\$ 239.9	\$ 278.5	\$ 322.8	\$ 377.2	\$ 434.5	\$ 126.2	\$ 177.8	\$ 239.9	\$ 434.5	\$ 688.5
Short-term deposits	159.0	204.0	382.5	411.5	380.4	327.4	327.4	327.4	327.4	327.4	327.4	327.4	231.0	411.5	327.4	327.4	327.4
Marketable securities	32.7	40.0	57.4	78.9	90.2	87.7	87.7	87.7	87.7	87.7	87.7	87.7	30.8	78.9	87.7	87.7	87.7
Trade accounts receivable, net	100.4	112.0	112.5	90.8	131.7	153.9	183.9	208.3	219.7	230.3	235.9	240.3	99.5	90.8	208.3	240.3	266.5
Inventories	129.2	133.7	126.5	112.2	100.0	99.8	111.5	118.7	125.1	130.2	132.5	135.0	111.2	112.2	118.7	135.0	148.8
Other current assets	22.9	21.2	21.3	25.8	35.5	40.3	48.2	54.6	57.5	60.3	61.8	62.9	21.3	25.8	54.6	62.9	69.8
Deferred tax assets, current	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Due from affiliates	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Short-term restricted deposits	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Current Assets	674.0	702.9	899.8	897.0	937.5	924.4	976.9	1,036.6	1,096.0	1,158.7	1,222.4	1,287.9	620.1	897.0	1,036.6	1,287.9	1,588.8
Long term deposits	20.0	20.0	20.0	-	-	-	-	-	-	-	-	-	26.0	-	-	-	-
Marketable Securities	81.1	87.9	134.5	182.9	179.5	185.5	185.5	185.5	185.5	185.5	185.5	185.5	87.1	182.9	185.5	185.5	185.5
Long-term inventory	12.3	15.4	16.1	15.6	16.8	17.0	17.0	17.0	17.0	17.0	17.0	17.0	11.9	15.6	17.0	17.0	17.0
Deferred tax asset, net	3.1	3.7	10.9	12.9	12.9	11.7	11.7	11.7	11.7	11.7	11.7	11.7	3.1	12.9	11.7	11.7	11.7
Other assets, net	1.7	2.1	2.5	1.9	1.6	1.8	1.8	1.8	1.8	1.8	1.8	1.8	2.0	1.9	1.8	1.8	1.8
Property, plant and equipment, net	55.0	56.8	62.2	65.1	66.1	69.3	73.2	77.5	82.0	86.5	91.0	95.4	54.2	65.1	77.5	95.4	113.4
Intangible assets, net	12.5	11.7	10.7	10.1	9.4	16.7	16.7	16.7	16.7	16.7	16.7	16.7	13.4	10.1	16.7	16.7	16.7
Goodwill	74.3	74.3	74.3	74.3	74.3	112.7	112.7	112.7	112.7	112.7	112.7	112.7	74.3	74.3	112.7	112.7	112.7
Total Assets	934.0	974.7	1,231.1	1,259.8	1,298.1	1,339.1	1,395.4	1,459.4	1,523.3	1,590.5	1,658.8	1,728.5	892.0	1,259.8	1,459.4	1,728.5	2,047.4
Liabilities & Shareholders' Equity																	
Trade accounts payable	48.1	40.9	33.2	33.7	34.3	48.4	56.1	62.1	65.5	68.2	69.4	70.7	46.6	33.7	62.1	70.7	78.0
Other current liabilities	79.6	89.1	85.5	73.7	78.0	76.9	76.9	76.9	76.9	76.9	76.9	76.9	77.3	73.7	76.9	76.9	76.9
Dividend payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Long term bank loans current portion	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Due to affiliated companies	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Current Liabilities	127.7	130.0	118.7	107.4	112.3	125.3	133.1	139.1	142.5	145.1	146.3	147.6	123.9	107.4	139.1	147.6	154.9
Deferred tax liabilities, net	5.1	5.2	-	1.3	0.8	-	-	-	-	-	-	-	5.6	1.3	-	-	-
Other long-term liabilities	15.0	14.6	15.2	14.3	14.6	15.1	15.1	15.1	15.1	15.1	15.1	15.1	15.4	14.3	15.1	15.1	15.1
Convertible notes	198.2	198.5	519.1	519.8	487.8	488.5	488.5	488.5	488.5	488.5	488.5	488.5	197.9	519.8	488.5	488.5	488.5
Liability for employee severance benefits	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Long term bank loans	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Liabilities	346.1	348.3	653.0	642.8	615.5	628.9	636.6	642.6	646.0	648.7	649.9	651.2	342.8	642.8	642.6	651.2	658.4
Shareholders' Equity	587.9	626.5	578.0	617.0	682.5	710.2	758.7	816.8	877.3	941.9	1,008.9	1,077.4	549.2	617.0	816.8	1,077.4	1,389.0
Total Liabilities & Equity	934.0	974.7	1,231.1	1,259.8	1,298.1	1,339.1	1,395.4	1,459.4	1,523.3	1,590.5	1,658.8	1,728.5	892.0	1,259.8	1,459.4	1,728.5	2,047.4

Source: Company Data, Morgan Stanley Research

Exhibit 13: CAMT: Projected Cash Flow Statement

Camtex Ltd. Statement of Cash Flows (Non Cumulative) (\$ in millions; fiscal year ends in December)	Mar-25 F1Q25A	Jun-25 F2Q25A	Sep-25 F3Q25A	Dec-25 F4Q25A	Mar-26 F1Q26A	Jun-26 F2Q26A	Sep-26 F3Q26E	Dec-26 F4Q26E	Mar-27 F1Q27E	Jun-27 F2Q27E	Sep-27 F3Q27E	Dec-27 F4Q27E	2024FYA	2025FYA	2026FYE	2027FYE	2028FYE
Cash flows provided by (used for) operating activities:																	
Net income	\$ 34.3	\$ 33.7	\$ (53.2)	\$ 35.9	\$ 31.6	\$ 23.3	\$ 43.2	\$ 51.9	\$ 54.1	\$ 57.8	\$ 60.1	\$ 61.4	\$ 118.5	\$ 50.7	\$ 150.0	\$ 233.3	\$ 280.2
Discontinued operations, net of cash provided by operating activities:	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Depreciation and amortization	2.9	2.9	2.8	3.2	2.9	2.9	3.1	3.3	3.5	3.7	3.9	4.1	10.7	11.8	12.1	15.1	18.8
Deferred tax (benefit) expense	(0.5)	(0.5)	(12.4)	(1.9)	(0.4)	0.5	-	-	-	-	-	-	(1.8)	(15.3)	0.0	-	-
Amortization of debt issuance costs	-	0.5	-	1.1	-	-	-	-	-	-	-	-	1.1	1.7	-	-	-
Stock-based compensation expense	3.7	4.6	4.4	4.2	3.1	4.9	5.4	6.1	6.5	6.8	6.9	7.1	14.5	16.9	19.5	27.3	31.4
Change in provision for doubtful debts	-	0.0	-	(0.1)	-	-	-	-	-	-	-	-	0.0	(0.0)	-	-	-
Loss on disposal of fixed assets	-	-	-	0.0	-	-	-	-	-	-	-	-	0.3	0.0	-	-	-
Other operating activities	-	0.7	-	99.5	-	-	-	-	-	-	-	-	(0.1)	100.2	-	-	-
Changes in current assets and liabilities:																	
Trade accounts receivable	(0.9)	(12.2)	(0.5)	21.2	(40.9)	(22.2)	(30.0)	(24.3)	(11.4)	(10.6)	(5.6)	(4.4)	(12.2)	7.6	(117.4)	(32.0)	(26.2)
Inventories	(18.4)	(9.2)	6.4	12.9	11.0	(0.1)	(11.7)	(7.2)	(6.4)	(5.1)	(2.3)	(2.5)	(32.2)	(8.3)	(7.9)	(16.3)	(13.9)
Due from related parties	-	(0.0)	-	0.0	-	-	-	-	-	-	-	-	0.0	(0.0)	-	-	-
Other assets	(1.2)	2.2	(0.6)	(5.4)	(9.4)	(5.0)	(7.9)	(6.4)	(3.0)	(2.8)	(1.5)	(1.2)	(4.8)	(5.0)	(28.7)	(8.4)	(6.9)
Trade accounts payable	1.5	(7.3)	(7.7)	0.3	0.6	14.1	7.7	6.0	3.4	2.7	1.2	1.3	4.3	(13.2)	28.5	8.5	7.3
Other current liabilities	2.3	8.1	(3.6)	(12.0)	4.2	(1.0)	-	-	-	-	-	-	23.9	(5.2)	3.2	-	-
Liability for employee severance benefits, net	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Liability in respect of litigation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Liability in respect of settlement	-	-	98.5	(98.5)	-	-	-	-	-	-	-	-	-	-	-	-	-
Net cash provided by (used in) operating activities from	23.7	23.4	34.3	60.4	2.8	17.3	9.8	29.4	46.5	52.4	62.8	65.8	122.2	141.9	59.3	227.5	290.8
Net cash provided by (used in) operating activities of discontinued operations	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net cash provided by operating activities	23.7	23.4	34.3	60.4	2.8	17.3	9.8	29.4	46.5	52.4	62.8	65.8	122.2	141.9	59.3	227.5	290.8
Cash flows from investing activities:																	
Acquisition of subsidiary consolidated for the first time (a)	-	-	-	-	-	-	-	-	-	-	-	-	1.3	-	-	-	-
Proceeds from (investment in) short-term deposits	72.0	(45.0)	(178.5)	(29.0)	31.0	53.0	-	-	-	-	-	-	(15.8)	(180.5)	84.0	-	-
Proceeds from (investment in) long-term deposits	6.0	-	-	20.0	-	-	-	-	-	-	-	-	(5.0)	26.0	-	-	-
Purchase of fixed assets	(2.8)	(2.8)	(8.2)	(0.5)	(3.9)	(6.1)	(6.9)	(7.6)	(7.9)	(8.2)	(8.4)	(8.5)	(10.1)	(14.4)	(24.5)	(33.0)	(36.8)
Purchase of intangible assets	0.9	(1.1)	0.9	(1.1)	0.7	(7.3)	-	-	-	-	-	-	(0.3)	(0.4)	(6.6)	-	-
Purchase of marketable securities	-	(25.7)	(64.0)	(125.6)	(7.9)	(3.5)	-	-	-	-	-	-	(45.8)	(215.2)	(11.4)	-	-
Redemption of marketable securities	4.1	12.6	-	57.4	-	-	-	-	-	-	-	-	19.7	74.1	-	-	-
Proceeds from disposal of fixed assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net cash provided by (used in) investing activities from	80.2	(61.9)	(249.8)	(78.8)	19.9	36.2	(6.9)	(7.6)	(7.9)	(8.2)	(8.4)	(8.5)	(55.9)	(310.3)	41.6	(33.0)	(36.8)
Net cash provided by (used in) investing activities of discontinued operations	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net cash used for investing activities	80.2	(61.9)	(249.8)	(78.8)	19.9	36.2	(6.9)	(7.6)	(7.9)	(8.2)	(8.4)	(8.5)	(55.9)	(310.3)	41.6	(33.0)	(36.8)
Cash flows from financing activities:																	
Share issuance, net	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from exercise of share options	-	-	-	-	-	-	-	-	-	-	-	-	0.0	-	-	-	-
Dividend payment	-	-	-	-	-	-	-	-	-	-	-	-	(60.0)	-	-	-	-
Issuance of convertible notes net	-	-	-	219.3	-	-	-	-	-	-	-	-	-	219.3	-	-	-
Repayment of contingent liability	-	(0.1)	-	(0.3)	-	-	-	-	-	-	-	-	(0.0)	(0.3)	-	-	-
Payment to OCS	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Treasury stock repurchases	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Issuance/Repayment of loans	-	-	219.0	(219.0)	-	-	-	-	-	-	-	-	-	-	-	-	-
Net cash used for financing activities	-	(0.1)	219.0	0.0	-	-	-	-	-	-	-	-	(60.0)	219.0	-	-	-
Effect of exchange rate changes on cash and cash equivalents	(0.3)	0.8	4.1	(3.5)	(0.9)	(37.8)	-	-	-	-	-	-	(0.0)	1.1	(38.8)	-	-
Net increase (decrease) in cash and cash equivalents	103.6	(37.8)	7.6	(21.8)	21.7	15.6	2.9	21.8	38.6	44.2	54.4	57.4	6.3	51.6	62.1	194.6	254.0
Cash and cash equivalents, beginning of period	126.2	229.8	192.0	199.7	177.8	199.6	215.2	218.1	239.9	278.5	322.8	377.2	120.0	126.2	177.8	239.9	434.5
Cash and cash equivalents, end of period	229.8	192.0	199.7	177.8	199.6	215.2	218.1	239.9	278.5	322.8	377.2	434.5	126.2	177.8	239.9	434.5	688.5

Source: Company Data, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of August 31, 2026)

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Coverage Universe			Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Camtek (CMT.O) - As of 09/27/26 GMT in USD
Industry : Semiconductor Capital Equipment



Stock Rating History: 12/1/25 : E/I

Price Target History: 12/1/25 : 110; 2/18/26 : 151; 3/23/26 : 161; 5/12/26 : 163; 7/6/26 : 167; 8/10/26 : 165

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Semiconductor Capital Equipment

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/25/2026)
Shane Brett		

Advanced Energy Industries Inc. (AEIS.O)	O (07/22/2026)	\$279.68
Applied Materials Inc. (AMAT.O)	E (05/18/2026)	\$485.00
Camtek (CAMT.O)	E (12/01/2025)	\$147.05
KLA Corp (KLAC.O)	O (01/15/2026)	\$187.92
Lam Research Corp (LRCX.O)	O (05/18/2026)	\$315.21
MKS Inc. (MKSI.O)	O (08/04/2024)	\$260.82
Nova Ltd (NVMI.O)	E (12/01/2025)	\$368.23
ONTO Innovation Inc (ONTO.N)	O (06/14/2026)	\$287.64
Teradyne Inc (TER.O)	E (07/30/2025)	\$398.38

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